

Calculating Area Transcript

As a real estate professional, you will often need to find the area of rooms, buildings, and lots, so it's important to know how to calculate these.

Rectangles, Triangles, and Squares

Take a rectangular building, for example. Length times width gives you the area. So, if that building were 40 feet by 20 feet, the area would be 800 square feet.

A square's area is calculated by multiplying one side times another side.

A triangle's area is found by taking half the length of the triangle's base and multiplying by its height.

Price Per Square Foot

Area, or square feet, is important in calculating price per square foot. This is found by taking the home's sale price and dividing it by the area. So, if we have our 800-square-foot rectangular building, and it sells for \$75,000, that equates to \$93.75 per square foot ($\$75,000 \div 800 = \93.75).

Knowing the price per square foot can help when you're valuing a listing. If you have the price per square foot of a comparable, and you know the square footage of the building you're listing, you can get an estimated value.

So, if local comps are selling for about \$93.75 per square foot, and you have a 1,000-square-foot home, an estimated value could be \$93,750. Keep in mind, square footage isn't the only factor to consider when valuing a home. The home's location, style, condition, and amenities matter, too!

What if the home you're working with isn't a perfect rectangle, or square? Have no fear! Take your odd-shaped building and divide it into familiar shapes. Find the area of each familiar shape, add these together, and you have the area of your odd shape.

Acres

You may hear the word "acre" used when talking about lot size. An acre is land that contains 43,560 square feet. So, if you need to find out what percentage of an acre a parcel is that has 28,675 square feet, just divide the number of square feet in the property (28,675) by the number of square feet in an acre (43,560) to get .66, or 2/3 of an acre.

Hectares

When discussing even larger parcels of land, it will be helpful to know about hectares. A hectare is 10,000 square meters, or approximately 2.47 acres in U.S. measurements. So, if you wanted to find out how many hectares were in a 45-acre tract of land, you would divide the total acres by 2.47. So, $45 \div 2.47 = 18.21$ hectares.

Front Foot

Another term you may hear is "front foot." The front foot of a property (often referred to as frontage) is simply the linear portion that abuts a waterway, highway, or street. To determine the front-foot measurement, you simply measure the length or width of the property that abuts this area. So, if you had a 200×50 -foot property, but it was the 50-foot portion of the property that abutted the road, you would have 50 front feet, or a 50-foot frontage.

You'll find the formulas we discussed here, as well as others, on your 'Calculating Area and Length Cheat Sheet.' Go check it out.